PUBLIC SERVICE COMMISSION
OF WEST VIRGINIA
CHARLESTON

Issued: December 2, 2024

CASE NO. 24-0457-WS-19A

COOLFONT MOUNTAINSIDE ASSOCIATION, INC.,
Rule 19A application to increase water and sewer rates and charges.

RECOMMENDED DECISION

This Order approves the Staff-recommended tariffs.

BACKGROUND

On May 16, 2024, Coolfont Mountainside Association, Inc. (Coolfont) filed a 19A request to increase its rates. It also requested an emergency rate increase.

On September 13, 2024, Commission Staff issued a Final Joint Staff Memorandum, recommending certain rate increases. The Memorandum noted that Coolfont would be required to publish the rate increase.

On September 19, 2024, Coolfont filed a request for an extension of time in which to respond to the Staff-recommended rates, which was granted by Procedural Order issued September 23, 2024.

On October 17, 2024, Coolfont filed a response outlining multiple disagreements with the Staff-recommended rates, and requesting their reconsideration, stating that it is optimistic Commission Staff will work with Coolfont to resolve its questions and provide adequate rates.

The same day, the presiding ALJ issued a Procedural Order directing Staff to file a response by November 1, 2024.

On November 1, 2024, Commission Staff filed a motion requesting an extension of the Staff response due date to November 15, 2024, stating that it sent a confidential settlement offer to Coolfont on October 31, 2024, and that the additional time would allow Staff and Coolfont time to come to agreed-upon rates.

KAC

On November 4, 2024, the presiding ALJ issued a Procedural Order granting the Staff extension to November 15, 2024.

On November 12, 2024, Coolfont filed a request for an expedited decision.

On November 15, 2024, Staff filed a Second Final Joint Staff Memorandum, recommending that the Commission approve a rate increase negotiated between it and Coolfont, once it makes the appropriate filing indicating that it accepts the negotiated rates and does not want to have a hearing in this matter.

The same day, Coolfont filed a response stating that it agreed with the rates listed in the November 15, 2024 Memorandum, and did not want a hearing in the matter.

On November 19, 2024, the presiding ALJ issued an Order requiring notice of the agreed-upon rates.

On November 20, 2024, Coolfont submitted a completed Tariff Form 6-B, stating that it mailed printed notice in the form of Tariff Form No. 10 to each of its customers on November 20, 2024, and emailed a copy of Tariff Form No. 10 on November 19, 2024.

As of the date of this Order, the protest period has lapsed.

The ten-day protest period has now lapsed. The Commission has received four online comments and three letters in support of Coolfont receiving a rate increase. Nancy Lidard filed a protest on August 26, 2024, but filed an online comment October 22, 2024, requesting that Staff reconsider their recommendations and propose tariffs that accurately reflect the specific conditions and needs of the Coolfont Mountainside Association. This precedes the agreed-upon rates filed November 15, 2024.

DISCUSSION

The agreed-upon rates and charges are sufficient, but not more than sufficient, to produce the level of revenue required by the Coolfont Mountainside Association to cover all operation and maintenance expenses, necessary capital additions and debt obligations. They have not been objected to by either Coolfont or its customers.

FINDINGS OF FACT

1. Coolfont is authorized by the PSC to provide water and sewer operations in Morgan County, West Virginia to 123 water customers and 116 sewer customers. (Staff Report filed September 13, 2024).

2. At going level, Coolfont's water operations had a net income loss of $16,926 and a cash flow deficit of $14,059 in its test year. (Staff Report filed September 13, 2024, at Water Statements A and F2).

3. Coolfont's water operations have no outstanding long-term debts with minimum debt service requirements. (Staff Report filed September 13, 2024, at Water Statement C).

4. The five-year average of plant additions for Coolfont's water operations is $28,014. (Staff Report filed September 13, 2024, at Water Statement F2).

5. At going level, Coolfont's sewer operations had a net income loss of $17,242 and a cash flow deficit of $23,226 in its test year. (Staff Report filed September 13, 2024, at Sewer Statements A and F2).

6. Coolfont's sewer operations have one outstanding long-term debt with no minimum debt service requirements. (Staff Report filed September 13, 2024, at Sewer Statement C).

7. The five-year average of plant additions for Coolfont's sewer operations is $3,757. (Staff Report filed September 13, 2024, at Sewer Statement F2).

8. Agreed-upon Water Rates will generate additional revenue of $42,137 annually or 44.42% over the Association's current rates. These revenues would be sufficient to cover the Association's operating cash requirements of $108,912 and provide a surplus of $28,038. This level of surplus exceeds the Association's five-year average of net plant additions. (Staff Report filed September 13, 2024, at Revenue Requirements; Second Final Joint Staff Memorandum filed November 15, 2024).

9. Agreed-upon Sewer Rates will generate additional revenue of $26,986 annually or 112.54% over the Association's current rates. These revenues would be sufficient to cover the Association's operating cash requirements of $36,388 and total debt service requirements of $10,817, and would result in a cash surplus of $3,814 to meet the Association's five-year average of net plant additions of $3,814. (Staff Report filed September 13, 2024, at Revenue Requirements; Second Final Joint Staff Memorandum filed November 15, 2024).

10. The Association has complied with the notice requirements in this case. (Tariff Form 6-B and Affidavit of publication filed November 20, 2024).

11. There have been no protests to the agreed-upon rates. (Case file generally).

CONCLUSIONS OF LAW

1. The agreed-upon rates and charges are sufficient, but not more than sufficient, to produce the level of revenue required by the Coolfont Mountainside Association, Inc. to cover all operation and maintenance expenses, necessary capital additions and debt obligations.

2. Because the agreed-upon rates attached to this Order as Appendix A are reasonable, they will be adopted and approved for the Coolfont Mountainside Association, Inc.'s provision of sewer service on and after the date upon which this Recommended Decision becomes a final order of the Commission.

3. Because the agreed-upon rates attached to this Order as Appendix B are reasonable, they will be adopted and approved for the Coolfont Mountainside Association, Inc.'s provision of water service on and after the date upon which this Recommended Decision becomes a final order of the Commission.

4. The agreed-upon rates can be approved without a hearing, as there have been no protests to them.

ORDER

IT IS, THEREFORE, ORDERED that the rates and charges recommended by the Commission Staff for the Coolfont Mountainside Association, Inc., are hereby approved.

IT IS FURTHER ORDERED that the agreed-upon rates and charges set forth in Appendix A, attached hereto, be and hereby are, approved for all sewer service rendered on and after the date that this Order becomes final.

IT IS FURTHER ORDERED that the agreed-upon rates and charges set forth in Appendix B, attached hereto, be and hereby are, approved for all water service rendered on and after the date that this Order becomes final.

IT IS FURTHER ORDERED that the Coolfont Mountainside Association, Inc. file with the Commission's Tariff Office an original and no less than six (6) copies of proper tariffs reflecting the rates herein approved within thirty (30) days of the date that this Order becomes final.

IT IS FURTHER ORDERED that this matter be, and hereby is, removed from the Commission's docket of open cases.

IT IS FURTHER ORDERED that the Executive Secretary serve this Order upon Staff by hand delivery, upon all parties of record who have filed an e-service agreement with the Commission by electronic service and by United States First Class Mail, upon all other parties.

Leave is granted to the parties to file written exceptions supported by a brief with the Executive Secretary of the Commission within fifteen days of the date of this Order. If exceptions are filed, the parties filing exceptions shall certify that all parties of record have been served the exceptions.

If no exceptions are filed, this Order shall become the Order of the Commission, without further action or order, five days following the expiration of the fifteen day time period, unless it is ordered stayed by the Commission.

Any party may request waiver of the right to file exceptions by filing an appropriate petition in writing with the Executive Secretary. No such waiver, however, will be effective until approved by order of the Commission.

Darren Olofson
Administrative Law Judge

DO:s:wsl
240457ae.doc

COOLFONT MOUNTAINSIDE ASSOCIATION, INC.
CASE NO. 24-0457-WS-19A

APPROVED TARIFF (SEWER)
Effective for all service rendered on or after the date of the Final Order.

APPLICABILITY

Applicable within the entire territory served.

AVAILABILITY

Available for general domestic, commercial, industrial and sale for resale sewer service.

RATE

$18.06 per thousand gallons for all gallons used per quarter.

MINIMUM CHARGE

No bills will be rendered for less than $54.18 per quarter.

FLAT RATE CHARGE (Customers with non-metered sewer supply)

Equivalent of 4,500 gallons per quarter, $81.27 per quarter.

DELAYED PAYMENT PENALTY

The above tariff is net. On all accounts not paid in full when twenty (20) days of date of bill, ten percent (10%) will be added to the net current amount unpaid. This delayed penalty is not interest and is to be collected once for each bill where it is appropriate.

LEAK ADJUSTMENT

$1.05 per 1,000 gallons is to be is to be used when the customer's bill reflects unusual consumption which can be attributed to eligible water leakage on the customer's side of the meter. This rate shall be applied to all such consumption above the customer's historical average usage.

TAP FEE

A tap fee of $350.00 will be charged to customers who apply for service outside of a certificate proceeding before the Commission for each new tap to the system.

SECURITY DEPOSIT

Not to exceed (1/12) of the annual estimated charge for residential service or one-sixth (1/6) of the annual estimated charge for commercial service, or $50.00, whichever is greater.

COOLFONT MOUNTAINSIDE ASSOCIATION, INC.
CASE NO. 24-0457-WS-19A

APPROVED TARIFF (WATER)
Effective for all service rendered on or after the date of the Final Order

APPLICABILITY

Applicable within the entire territory served.

AVAILABILITY OF SERVICE

Available for general domestic, commercial, industrial and sale for resale water service.

RATE

$41.02 per 1,000 gallons for all gallons used per quarter.

MINIMUM CHARGE

No bills will be rendered for less than $123.06 per quarter.

DELAYED PAYMENT PENALTY

The above tariff is net. On all accounts not paid in full within twenty (20) days of date of bill, ten percent (10%) will be added to the net current amount unpaid. This delayed penalty is not interest and is only to be collected once for each bill where it is appropriate.

RECONNECT FEE

$25.00 to be charged whenever the supply of water is turned off for violations of rules, non-payment of bills, or fraudulent use of water.

LEAK ADJUSTMENT

$2.54 per 1,000 gallons is to be used when the bill reflects unusual consumption which can be attributed to eligible leakage on the customer's side of the meter. This rate shall be applied to all such consumption above the customer's historic usage.

TAP FEE

A tap fee of $350 will be charged to customers who apply for service outside of a certificate proceeding before the Commission for each new tap to the system.

RETURNED CHECK CHARGE

A service charge equal to the actual bank fee assessed to the water utility up to a maximum of $25.00 will be imposed upon any customer whose check for payment of charges is returned by the bank due to insufficient funds.

SECURITY DEPOSIT

Not to exceed (1/12) of the annual estimated charge for residential service or one-sixth (1/6) of the annual estimated charge for commercial service, or $50.00, whichever is greater.